

HEDGEYE DAILY DIGEST

Tuesday, July 21, 2026 (GMT+8)

The Machine is voting for a regime change. Keith McCullough's Monday note frames the market's central story as a monthly #Quad3 reflation taking hold into August: oil and commodities are breaking out, Treasury yields have flipped back to bullish, and leadership is rotating hard out of crowded tech into Utilities, Energy and REITs. The single most consequential move was McCullough selling all of his long-duration bonds (TLT) as yields turned — a signal-driven exit that captures the whole thesis in one trade.

Timing note: This digest was generated at 07:10 GMT+8 on Tuesday, July 21 (= 19:10 EDT Monday, July 20). Converting Hedgeye's EDT timestamps to GMT+8 (+12h), the full Monday-morning research batch lands on the evening of July 20 GMT+8 — the freshest research available for this morning's read. No separate July 21 GMT+8 publications exist yet, so the latest batch is featured below in full detail.

Today's Publications — Latest Batch (Mon, Jul 20 EDT)

EARLY LOOK — “Monthly #Quad3 AUG Dynamics”

Early Look · Keith McCullough · 07/20 07:32 AM EDT (07:32 PM GMT+8)

McCullough opens the week positioning for a monthly **#Quad3** regime in August — the quadrant where **growth slows while inflation re-accelerates**. His organizing metaphor is the chemist Döbereiner spotting “triads” of related elements fifty years before the periodic table: markets, he argues, throw off the same recurring “Similar Sets” that his fractal/Risk Range process reads in real time.

The clearest signal is a **commodity reflation**. The **CRB Commodities Index** reflatd **+4.3%** last week back to bullish TRADE and TREND, and **Oil (WTI)** ripped **+15.5%** — enough to restore a bullish TRADE with the new “Alpha Code 7782” (bullish TRADE above **\$77**, bullish TREND at **\$82**). Front-month oil volatility has ramped back toward **60**.

That reflation is dragging Treasury yields higher: the **UST 10yr yield** is building higher-lows (Alpha Code **4.44 / 4.52**) and both 10s and 30s are back to bullish TRADE and TREND. The practical consequence: McCullough **sold all his duration (TLT)** on last week's bounce, calling the long-term bond case still bullish but the near-term bearish and in need of risk management.

On currencies, the **US Dollar Index** held bullish TRADE/TREND (-0.2% on the week) while the euro and yen stayed bearish. The **South Korean won** strengthened **+1.5%** even as **KOSPI crashed -28.5%** from its “Mother of All Bubbles” high of **9,114**. Hedgeye is now **long New Zealand equities (ENZL)** ahead of an expected **#Quad1 in Q4**.

The equity implication is a **factor rotation**: **REITs (XLRE) +2.8%** and **Energy (XLE) +4.7%** led last week while **Tech (XLK) fell -5.5%**. Top three back-tested Quad3 sector styles: **Utilities (XLU)**, **Energy (XLE)**, **REITs (XLRE)**.

Risk Range™ Signals (OUR LEVELS):

Asset	Risk Range™	TREND
UST 10Y Yield	4.49 – 4.62	Bullish
High Yield (HYG)	79.48 – 79.87	Bullish
Inv. Grade Corp (LQD)	106.7 – 108.0	Bearish
S&P 500 (SPX)	7,420 – 7,597	Bullish
NASDAQ Comp (COMPQ)	25,258 – 26,298	Neutral

Asset	Risk Range™	TREND
Russell 2000 (RUT)	2,942 – 3,004	Bullish
Technology (XLK)	171 – 185	Neutral
Health Care (XLV)	157 – 165	Bullish
Homebuilders (XHB)	105.00 – 111.00	Bullish
Utilities (XLU)	44.75 – 46.11	Bullish
Volatility (VIX)	15.57 – 19.49	Bearish
US Dollar (USD)	100.40 – 101.38	Bullish
Crude Oil (WTIC)	69.89 – 85.71	Neutral
Natural Gas (NATGAS)	2.69 – 3.06	Bearish
Gold	3,942 – 4,136	Bearish
Copper	6.05 – 6.41	Bullish
Silver	54 – 61	Bearish

Investment implication: Front-run August's #Quad3 by owning **Utilities, Energy and REITs**, respect the bullish reversal in **yields** (short-duration over long), and treat crowded high-beta tech as the primary risk to fade.

THE MACRO SHOW — Summary Notes, Monday, July 20

The Macro Show · 07/20 10:15 AM EDT (10:15 PM GMT+8)

The show turned the Early Look into concrete positioning. **BULLISH:** Utilities (XLU), Energy (XLE), REITs (XLRE), Software — plus **Twilio (TWLO)**, **GitLab (GTLB)**, **Roku (ROKU)**. **BEARISH:** India (INDA), France (EWQ), Belgium (EWK), Germany (EWG) — plus **Alphabet (GOOGL)**, **Tesla (TSLA)**, **Nvidia (NVDA)**.

On rates and oil, Keith reiterated the **77/82 oil Alpha Code** and warned that the last time oil vol broke **60** it eventually ran to **~120**. The exit from **TLT** and long-duration was framed as purely signal-driven; he'd buy bonds back only if yields break back below their **TRADE** levels.

On tech, **QQQ** fell **~2.9%** last week and **high-beta momentum -4.3%**; Nasdaq implied vol trades at a **discount to realized**, read as investors being under-hedged. **Gamma flipped from positive to negative** (a mechanical accelerant to declines), and Tier 1 Alpha flagged that **~\$45–50B of systematic buying** had already occurred — flow support may be tapped out. Hedgeye holds **no QQQ** position. **Nvidia confirmed a bearish TREND breakdown** into Friday's close; **Google stays bearish TREND**; **Tesla** was a notable short-side addition.

Globally, Hedgeye is **short India (INDA)** again, expanded **European net shorts** (France, Belgium, Germany — Germany flagged as recession risk), and eyes **Indonesia** as a potential short. **South Korea stays in crash mode (~-28.5%)**; the low end of the KOSPI range (**~6,409**) is a spot to cover part of a short, not a buy. **Corn and copper** returned to bullish TREND, confirming a broad reflation; **gold stays bearish TREND** because yields are bullish. **Meta** is back to bullish TREND but low conviction — build near the low end of its range and watch **Google earnings**. Signal Strength universe: **86 longs / 61 shorts**.

MOMO TRACKER — “Mag7 (-1.8%), NVDA/MSFT=BEARISH”

Momentum Stock Tracker · Drake & Ricci · 07/20 07:26 AM EDT

The momentum dashboard headlines the **Magnificent 7 down -1.8%**, with **NVDA and MSFT signaling BEARISH**. The framing — “Crashes, Complacency & Vol Control” — dovetails with the Macro Show's warning that the biggest risk sits in what investors already crowd into. Read alongside negative gamma and exhausted systematic-buying flow, the tracker reinforces a defensive posture on the QQQ complex.

CAPITAL ALLOCATION PRO — Daily Dashboard | Model Portfolios

Capital Allocation Pro (Hedgeye Asset Mgmt) · 07/20 08:25 AM EDT

The daily dashboard notes **Model Portfolio changes taking effect using Friday, July 17 closing prices** (specific line-item trades live in the subscriber dashboard). Trend and Tail levels for the **68-ETF** universe are refreshed on the standard 3–4 week cycle, and a July Key Callouts video is pending. The team reiterated its “pull vs. push” philosophy — emails are sent only when the research demands immediate attention.

SIGNAL STRENGTH STOCKS — 86 Stocks (3 Added, 3 Removed)

Signal Strength Stocks · 07/20 11:52 AM EDT

The single-stock signal list holds at **86 names**. **Added: EXPGY, WSM, CHWY**. **Removed: WRBY, RDNT, LII**. The additions of **Williams-Sonoma (WSM)** and **Chewy (CHWY)** lean into rate-sensitive/consumer names consistent with the rotation, while the removals trim prior leaders that have broken TRADE and/or TREND.

ALSO PUBLISHED

Peripheral notes from the same batch

ETF Pro Plus — 2 New Changes (07/20 10:31 AM EDT): Adding Long **Digital Payments (IPAY)**; Adding Short **South Korea (EWY)**; removing longs **US Deflation (BNDD)** and **Genomic Revolution (ARKG)**; covering short **Coal (COAL)**. The new EWY short directly expresses the KOSPI crash thesis.

Crypto Quant / Bitcoin Trend Tracker (07/20 06:47 AM EDT): **BTC +0.4%** overnight; US spot ETFs **+\$180M W/W**; notes on **ETHE/GSOL staking payouts** and **PUMP** heading into a token unlock.

ETF Pro Plus — New Weekly Report (07/19 03:55 PM EDT): Weekly refresh of the ETF Pro Plus dashboard.